LAW & MOTION CALENDAR
TENTATIVE RULINGS

May 21, 2026

Judge R. Shawn Nelson
Department C10

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
10 a.m.		
1	Dr. Louis Garcia MD (Unit 202) v. Exbon	Tony T. Liu moves to be relieved as counsel of record for counsel for Plaintiff Dr. Louis Garcia MD (Unit 202). The motion is **GRANTED**. Mr. Liu shall submit a revised Proposed Order with item 6 completed. Once it is entered by the Court, the order relieving counsel will be effective upon the filing of a proof of service of the executed order upon all parties.

		Moving counsel shall give notice of this ruling.
2	Omana v. Disneyland International	Attorney Anthony Werbin's motion to be relieved as counsel for Plaintiff Nora Omana is **GRANTED**. The order relieving counsel will be effective upon the filing of a proof of service of the executed order upon all parties. Moving counsel shall give notice of this ruling.
1:30 p.m.		
1	Lopez v. Mercedes-Benz USA, LLC	The court **GRANTS IN PART** Defendant MERCEDES-BENZ USA, LLC's motion to compel binding arbitration as set forth below. The request to stay proceedings on remaining claims is **DENIED without prejudice**. <u>The Arbitration Agreement</u> A party moving to compel arbitration bears an initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee*, at 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Gamboa*, 72 Cal.App.5th at 165–166.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Id.*) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Id.*) In support of Defendant's motion, Defendant presents the declaration of counsel, Macy Chan, who declares as follows: "Attached as Exhibit 1 is the Consumer Lease Agreement ("Lease Agreement") executed by

Plaintiff Janette A. Tawfek on or about April 30, 2025. (Chan Decl., ¶ 2 , Exh. 1).

The Lease Agreement provides, in part:

"**Any claim or dispute, whether in contract, tort or otherwise** (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), **between you and us or** any of our employees, agents, successors, assigns, **or the vehicle distributor, including Mercedes-Benz USA LLC** (each a 'Third Party Beneficiary'), **which arises out of or relates to** a credit application, **this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall**, at the election of either you, us, or a Third Party Beneficiary, **be resolved by a neutral, binding arbitration** and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. the arbitration shall be administered by the American Arbitration Association or by any other organization that you may choose, subject to our or a Third Party Beneficiary's approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org." (Id. [the "Agreement", ***emphasis supplied***]).

Plaintiff does not contest the authenticity of this agreement. The court, therefore, finds that Defendant has met its initial burden of establishing the existence of an arbitration agreement.

The Agreement also provides, "This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq)." Plaintiff does not contest that the FAA applies. (See *Rodriguez v. Am. Technologies, Inc*. (2006) 136 Cal.App.4th 1110, 1122 ["Thus, there is no ambiguity regarding the parties' intent. They adopted the FAA—all of it—to govern their arbitration. The FAA controls … ."].) Accordingly, the court finds that the FAA governs.

Plaintiff challenges the motion by arguing that (1) Plaintiff did not consent to the agreement as against Mercedes-Benz, a non-party to the agreement, (2) Defendant is not a third-party beneficiary of the agreement, and (3) the claims fall outside the scope of the lease agreement.

Third-Party Beneficiary

Plaintiff's main argument is that Defendant is not a signatory to the lease agreement such that Plaintiff did not agree, as between Plaintiff and Defendant, to arbitrate claims between them.

"Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law." (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1332 ("*Ochoa*") [citing *Kramer v. Toyota Motor Corp.* (9th Cir. 2013) 705 F.3d 1122, 1128; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7].) State law provides six theories by which a nonsignatory may compel or be bound to arbitrate. These theories include: "'(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary' [citations]." (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513.)

When considering whether a third party may bring a breach of contract, courts determine "not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward." (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830.)

The Agreement contains a broad arbitration provision that ***expressly*** and s***pecifically*** references and identifies Defendant Mercedes Benz, LLC as a third party beneficiary. The Agreement also covers any dispute or claim that arises from any relationship with Defendant Mercedes Benz, as a third-party beneficiary. (See provision quoted above.)

Plaintiff contends that his claims against Defendant under the Song-Beverly Consumer Warranty Act do not arise from this lease agreement, that Defendant does not directly benefit from the lease agreement between Plaintiff and the dealership, that the motivating purpose of any lease agreement between Plaintiff and the dealership was not to benefit Defendant, and that the Agreement could not have been within either the selling dealership's nor Defendant's own expectations because the "Dealer Agreement" prohibits the dealership from acting as its agent.

Most of the cases that Plaintiff rely on deal with the doctrine of equitable estoppel and whether or not Plaintiff's claims are intertwined with the agreement such that equitable estoppel applies or not. (See e.g., *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122).

"[T]he equitable estoppel doctrine applies when a party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are 'based on the same facts and are inherently inseparable' from arbitrable claims against signatory defendants." (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713 [internal citations and quotations omitted]). "Courts applying equitable estoppel against a signatory have '"looked to the relationships of persons, wrongs and issues, in particular whether the claims that the nonsignatory sought to arbitrate were '"'intimately founded in and intertwined with the underlying contract obligations.'"'" (*Id.* [internal citations omitted]).

Ford had cited to *Metaclad* in support of its argument that the plaintiffs were equitably estopped from contending that Ford was a nonsignatory, and the Supreme Court rejected this argument:

"Under that analysis, in limited circumstances, if a plaintiff sues a third party to assert a claim that is " 'intimately founded in and intertwined with' " a contractual provision, that third party may move to compel

		arbitration of the claim even though that third party is a stranger to the contract. … We conclude this estoppel approach has no application here. Ford seeks to invoke an arbitration clause in a dispute flowing, not from the contract where the arbitration clause appears, but from obligations imposed by statute or conventional fraud duties. As plaintiffs' claims are not intimately founded in or intertwined with the sales contracts, plaintiffs should not be estopped from pursuing their remedies against Ford in court." (*Ford Motor Warranty Cases*, 17 Cal.5th at 1126). However, the three-part, third-party beneficiary analysis set forth in *Goonewardene,* does not consider whether the Plaintiff's claims are necessarily intertwined with the sales contract. Further, the Court in *Ford Motor Warranty Cases* relied on the fact that "Ford, the manufacturer, was not a party to, *or named in*, the sales contracts." (*Ford Motor Warranty Cases*, 17 Cal.5th at 1126 [internal citations omitted].) Here, on the other hand, the Agreement expressly names Defendant. (Chan Decl., Exh. 1.) Looking merely to Defendant's argument of being expressly named in a contract as a third-party beneficiary, the court applies the analysis set forth in *Goonewardene.* With regards to the first element, Defendant explains that the lease is very beneficial to Defendant since Plaintiff is obtaining a vehicle that Defendant distributed. With regards to the second element, Defendant argues that the dealership intended for it to benefit by expressly naming Defendant as a third-party beneficiary in the lease. Defendant argues that its enforcement is consistent with the objectives of the contract and the reasonable expectations of the contracting parties, given that the Defendant was expressly named. The argument appears to be meritorious. Accordingly, irrespective of whether or not equitable estoppel applies, the court finds that Defendant may enforce the contract as one of the entities explicitly named in the Agreement as a third party beneficiary, including the claims alleged in this action. <u>Scope of Arbitration</u> Plaintiff also contends that his claims against Defendant under the Song-Beverly Consumer Warranty Act do not arise from this lease agreement, any contract, or any relationship stemming from the lease agreement. The Lease Agreement contains a delegation clause: "Any claim or dispute, whether in contract, tort or otherwise (including any dispute ***over the interpretation, scope***, or validity of this lease, arbitration section ***or the arbitrability of any issue***)…" "[P]arties may delegate threshold arbitrability questions to the arbitrator, so long as the parties' agreement does so by 'clear and unmistakable' evidence." (*Henry Schein, Inc. v. Archer & White Sales, Inc*. (2019) 139 S. Ct. 524, 530.) "[B]efore referring a dispute to an arbitrator, the court determines whether a valid arbitration agreement exists." (*Id*.) "But if a

		valid agreement exists, and if the agreement delegates the arbitrability issue to an arbitrator, a court may not decide the arbitrability issue." (*Id*.) "[C]ourts presume that the parties intend courts, not arbitrators, to decide ... disputes about 'arbitrability,' ... such as 'whether the parties are bound by a given arbitration clause,' or 'whether an arbitration clause in a concededly binding contract applies to a particular type of controversy.' " (*Aanderud v. Super. Ct.* (2017) 13 Cal. App. 5th 880, 891.) However, "parties can agree to arbitrate 'gateway' questions of 'arbitrability,' such as whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy." *(Id*.) "When the parties' contract delegates the arbitrability question to an arbitrator, a court may not override the contract." (*Henry Schein, Inc. v. Archer & White Sales, Inc.* (2019) 139 S. Ct. 524, 529.) "In those circumstances, a court possesses no power to decide the arbitrability issue." (*Id*.) However, "courts should not assume that the parties agreed to arbitrate arbitrability unless there is 'clea[r] and unmistakabl[e]"' evidence that they did so. (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) The "clear and unmistakable" test reflects a "*heightened* standard of proof" that reverses the typical presumption in favor of the arbitration of disputes. (*Aanderud*, 13 Cal. App. 5th at 892.) "An arbitration provision's reference to, or incorporation of, arbitration rules that give the arbitrator the power or responsibility to decide issues of arbitrability may constitute clear and unmistakable evidence the parties intended the arbitrator to decide those issues." (*Id*.) Here, given the court finds that the arbitration agreement evidences the parties' clear and unmistakable intent to submit issue of arbitrability to the arbitrator. Accordingly, the issue of arbitrability and whether or not Plaintiff's claims against Defendant are within the scope of the arbitration agreement in the lease agreement shall be determined by the arbitrator. The arbitrator will decide the issue of arbitrability and whether or not Plaintiff's claims fall under the scope of the arbitration agreement. The Motion to Compel Arbitration is GRANTED in part accordingly. Given that Plaintiff's claims against Defendant Fletcher Jones Motorcars Newport Beach are independent of Plaintiff's claims against Defendant Mercedes-Benz, USA, LLC and does not affect Defendant Mercedes-Benz USA, LLC, Defendant's request for a stay of this action on the remaining claims is DENIED without prejudice. The court sets a status conference regarding the status of arbitration on August 20, 2026, at 9:00 a.m. in this department. Moving Defendant to give notice.
2	Chen v. The Regents of the University of California	Plaintiff Allen Chen, M.D.'s motion for sanctions is **DENIED, without prejudice.** On 4/16/26, this court granted Defendants' request for a discovery referee in this matter. (ROA 160). On 5/13/26, this court held that the Honorable Lon F. Hurwitz (Ret.) will serve as the discovery referee in

		the above-captioned matter, and ordered Defendants to submit a properly completed Order Appointing Referee (ADR-110) within five days. (See ROA 187). Defendants submitted the Order on 5/15/26, and accordingly, all disputes relating to the depositions in this matter are now before Judge Hurwitz. Because Plaintiff moves for sanctions arising out of counsel's conduct during depositions, including improper objections and coaching, such matter is within the scope of the discovery referee. Plaintiff shall give notice.
3	Ortiz v. Ford Motor Company	Defendant Ford Motor Company moves for summary judgment on the Complaint filed by Plaintiff Isabel Ortiz. For the following reasons, the motion is **GRANTED**. A defendant seeking summary judgment bears the burden of persuasion and burden of proof by a preponderance of the evidence to negate the plaintiff's claim. It may do this by demonstrating the claim has no merit, that the plaintiff cannot prove an element of the claim, or that the defendant has a complete defense entitling it to judgment as a matter of law. (Code Civ. Proc. § 437c(p)(2); *Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850-51.) On September 27, 2022, Plaintiff was involved in a three-vehicle collision on the 5 freeway. (Defendant's Material Fact ("DMF") 1.) Plaintiff was driving a 2010 Mercury Milan (the "Milan") and did not come to a complete stop and rear ended another car. (DMF 2.) The Milan was dismantled on November 16, 2022, almost two years before this lawsuit was filed. (DMF 11.) Plaintiff alleges two causes of action against Ford for "motor vehicle" and "products liability." The Complaint asserts a cause of action for general negligence, but Ford is not listed as a defendant in that cause of action. Instead, that cause of action is only directed towards Lawrence Patrick Eng and Angela Jane Ivlcintosh, both of whom have been dismissed as defendants by Plaintiff. (ROAs 2, 39.) Plaintiff's cause of action for "motor vehicle" does not allege how Defendant was negligent. (ROA 2 at p. 4.) The form Complaint states, "The defendants who are liable to plaintiffs for other reasons and the reasons for the liability are … Ford Motor Company," but no statement is given as to the reasons for the liability. (Ibid.) The Court will construe the claim as one for general negligence. To prevail on a negligence claim, a plaintiff must show the defendant owed a legal duty to him or her, the defendant breached that duty, and the breach proximately caused injury to the plaintiff. (*Wiener v. Southcoast Childcare Centers, Inc.* (2004) 32 Cal.4th 1138, 1145.) "The elements of a strict products liability cause of action are a defect in the manufacture or design of the product or a failure to warn, causation, and injury." (*County of Santa Clara v. Atlantic Richfield Co*. (2006) 137 Cal.App.4th 292, 318.) As to Ford, Plaintiff's Judicial Council form Complaint only alleges that Plaintiff was injured due to the "battery energy control module and

		powertrain control module." (DMF 15.) In discovery, Plaintiff claims her Milan was subject to a safety recall Ford issued on December 18, 2019 for certain 2006-2010 Ford Fusion, Mercury Milan, and other vehicles. (DMF 16.) The recall identified a defect in certain ABS Hydraulic Control Unit valves that may not close properly due to a reaction with brake fluid containing specific corrosion-preventative additives, potentially compromising the vehicle's braking performance. (DMF 17.) In September 2022 (after the accident took place), Ford sent a letter to customers that an update to the software for the Battery Energy Control Module and Powertrain Control Module needed to be performed on the Milan. (DMF 19.) Plaintiff contends this indicates that Ford "acknowledged potential issues with these modules after the crash." (DMF 20.) Plaintiff is referring to Safety Recall 19S54, reporting that a valve in the hydraulic control unit of the anti-lock braking system may become stuck open, increasing the risk of a crash. (DMF 21-23.) This Recall did not apply to Plaintiff's Milan. (DMF 25-29.) The Recall was limited to certain vehicles manufactured between February 22, 2006 and July 15, 2009, but Plaintiff's Milan was manufactured on March 9, 2010, outside the parameters of the Recall. (Ibid.) The National Highway Transportation Safety Administration's website shows that there were no outstanding recalls for Plaintiff's Milan. (DMF 29.) Plaintiff disputes Material Facts 25-29 with a few claims. First, Plaintiff states, "Plaintiff deposition at pg. 47. Plaintiff testified that the vehicle brake system "wasn't function [sic] properly" on date of accident which led to accident." (ROA 84.) Plaintiff's reliance on her deposition testimony is problematic because Plaintiff did not authenticate her deposition testimony. Instead, she simply attached excerpts from her deposition transcript to her opposition to the summary judgment motion. Further, Plaintiff's deposition testimony on page 47 does not provide any evidence to dispute DMF 25-29. Plaintiff also points to a discovery response to dispute Material Facts 25-29: "Pursuant to Plaintiff Response to Special Interrogatory pg. 3, the brake defect may be related to the recall issued by Ford on December 18, 2019 pertaining to certain vehicles, including Milan vehicles." However, Plaintiff has not provided, let alone authenticated, the interrogatory responses she references. Further, Plaintiff may not use her own discovery responses to oppose summary judgment. (See *Great American Ins. Cos. v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450 [party cannot use his own discovery responses to oppose summary judgment].) Plaintiff has not provided any admissible evidence to dispute Material Facts 25-29. Defendant shall give notice of this ruling.
4	NiMO Holdings, LLC v. All Home Lending, Inc.	Judgment Debtors' motion to tax the Memorandum of Costs After Judgment on the ground that it was filed after the judgment was fully satisfied is DENIED. The motion to tax the August 2023 abstract-of-judgment costs in the amount of $473.00 is GRANTED.

The motion to tax attorney's fees is DEFERRED pending resolution of Judgment Creditor's separately noticed motion for attorney's fees.

The Court takes judicial notice of Judgment Creditor's Motion for Attorney's Fees and supporting Declaration of Sharon Oh-Kubisch, filed on 02/09/2026. (RJN, Ex. 1; Evid. Code, § 452, subd. (d).)

A. <u>Relevant Facts</u>

On 4/17/2023, default judgment was entered. (ROA 23.) Notice of Entry of Judgment was subsequently filed on 04/20/2023. (ROA 29.) Thereafter, on 04/28/2023, Judgment Creditor filed a Memorandum of Costs After Judgment. (ROA 31.)

On 07/20/2023, an amended judgment was entered. (ROA 80.)

On 08/16/2023, Judgment Debtors entered into a written Stipulation to pay the judgment through monthly installment payments of $3,000 per month for the first 12 months and $4,000 per month for the next twelve months. (Motion, Declaration of Mike Ahmari, ¶ 4, Exh. 1.) The Stipulation also required post-judgment interest to accrue until the final settlement payment was made. (Ibid.)

On 08/01/2024, Judgment Debtors received an email from Plaintiff's counsel, containing an Excel spreadsheet showing first-year payments totaling $36,000, interest owed of $6,034.71, and a remaining balance of $52,857.89. (Id., ¶ 5, Exh. 2.)

On 03/13/2025, Plaintiff's attorney sent Judgment Debtors an email stating that he owed $18,923.57 in attorneys' fees. (Id., ¶ 6, Exh. 3.)

On 04/24/2025, Judgment Debtors' attorney sent an email disputing Judgment Creditor's claim for attorneys' fees on the ground that Judgment Debtors never agreed to pay additional attorneys' fees of approximately $19,000. (Id., ¶ 7, Exh. 4.)

On 08/20/2025, Judgment Creditor's attorney sent an email containing a payment schedule stating that Judgment Debtors owed $21,942.47 in attorneys' fees. (Id., ¶ 8, Exh. 5.)

On 10/16/2025, Judgment Creditor's attorney sent an email claiming that Judgment Debtors owed $22,334.67 in attorneys' fees. (Id., ¶ 9, Exh. 6.)

On 12/05/2025, Judgment Creditor's attorney sent an email claiming Judgment Debtors owed $9,109.61 in principal and interest, and $22,334.67 in attorneys' fees. (Id., ¶ 9, Exh. 7.)

On 12/08/2025, Judgment Debtor Mike Ahmari personally delivered to Plaintiff's administrator, a check in the amount of $9,109.61. (Id., ¶ 10, Exh. 8.) The memo section of the check stated: "Payment in full 30-0323-0137967 [sic]." (Ibid.) Bank records show that Judgment Creditor negotiated the check on 12/09/2025. (Ibid.)

On 12/15/2025, Judgment Debtors' attorney sent an email stating the Stipulation did not provide for attorneys' fees, and that the 12/05/2025 check constituted payment in full of the principal and interest allegedly due. (Id., ¶ 12, Exh. 9.) In response, Judgment Creditor's counsel asserted that attorney's fees remained owing under the contract and judgment and warned that additional fees would continue to accrue if the balance remained unpaid. (Ibid.)

On 12/17/2025, Judgment Creditor filed a Memorandum of Costs After Judgment (ROA 245) seeking the following costs:

Postjudgment Costs	**Dates Incurred**	**Amount**
(2) Recording and indexing abstract of judgment	8/2/23, 8/4/23 & 8/7/23	$473.00
(6) Approved fee on application for order for appearance of judgment debtor, or other approved costs under Code Civ. Proc., § 708.110 et seq.	2/13/24 – First appearance fees for debtor Mike Ahmari and third-party debtor Ana Ahmari to appear at debtor examination	$870.00
(7) Attorney fees, if allowed by Code Civ. Proc., § 685.040	1/1/24-10/31/25	$6,965.00
(8) Other: Stipulations to continue examinations for Mike Ahmari and Ana Ahmari, under 708.110 et al.		$264.40
TOTAL:		**$8,572.40**

On 12/29/2025, Judgment Debtors filed the pending motion to tax costs.

B. <u>Post Judgment Costs and Fees</u>

"As explained by our Supreme Court in *Conservatorship of McQueen* (2014) 59 Cal.4th 602. . . postjudgment costs and fees are distinct from prejudgment costs and fees, and they are governed by different laws. 'The statutes and rules distinctly address three different types of costs and fees: prejudgment costs, including attorney fees where authorized by contract, statute or law (§ 1033.5, subd. (a)(10)), are recovered through procedures established under section 1034, subdivision (a) and [California Rules of Court,] rules 3.1700 and 3.1702(b); appellate costs and fees are recovered under section 1034, subdivision (b) and [California Rules of Court,] rules 3.1702(c) and 8.278; and postjudgment enforcement costs and fees are recovered under the Enforcement of Judgments Law, specifically sections 685.040 to 685.095.' [Citation]." (*Elmi v. Related Management Co., L.P*. (2025) 108 Cal.App.5th 683, 699.)

A judgment creditor is entitled to the "reasonable and necessary costs" incurred in enforcing the judgment—including attorney fees if the underlying judgment provides for an award of Code of Civil Procedure, §

		1033.5(a)(10)(A) contractual attorney fees or where "otherwise provided by law." (Code Civ. Proc., § 685.040; see *Conservatorship of McQueen* (2014) 59 Cal.4th 602, 610; *Nash v. Aprea* (2023) 96 Cal.App.5th 21, 28—before motion for award of postjudgment attorney fees may be awarded as costs, fees must have been incurred to "enforce" judgment and underlying judgment had to include § 1033.5(a)(10)(A) attorney fee award; *Guo v. Moorpark Recovery Service, LLC* (2021) 60 Cal.App.5th 745, 751—where underlying judgment awarded reasonable attorney fees, judgment creditor's assignee entitled to recover attorney fees under § 685.040 despite trial court's failure to specify amount.) Under Code of Civil Procedure, section 685.070, subdivision (a), a judgment creditor may recover specified postjudgment enforcement costs as a matter of right unless otherwise excluded by the Enforcement of Judgments Law. Recoverable costs include statutory fees for issuing and levying writs of execution and earnings withholding orders, fees for issuing and recording abstracts of judgment or certified copies of judgment, fees for filing notices of judgment liens on personal property, and reasonable and necessary costs incurred in connection with debtor examinations and other enforcement proceedings approved by the court. (Code Civ. Proc., §§ 685.070(a), 708.110 et seq.) **C. <u>Timeliness of Memorandum of Costs</u>** A judgment creditor claiming costs authorized as "of right" under Code of Civil Procedure § 685.070 must file with the court and serve on the judgment debtor a Memorandum of Costs before the judgment is fully satisfied but not later than two years after the costs were incurred. (Code Civ. Proc., § 685.070(b); see *G.F. Galaxy Corp. v. Johnson* (2024) 100 Cal.App.5th 542, 552-553—§ 685.070(b) does not require that judgment creditor wait until enforcement action's successful resolution before filing cost memorandum, which would be barred if filed after judgment is fully satisfied; *Gray1 CPB, LLC v. SCC Acquisitions, Inc.* (2015) 233 Cal.App.4th 882, 897—where judgment debtor tendered cashier's check for full judgment amount plus interest nearly two years after judgment, judgment creditor's motion for postjudgment costs for $3.1 million in attorney fees filed 12 days after tender but one day before cashing was untimely.) Judgment Debtors move to tax all costs in the Memorandum of Costs After Judgment filed on 12/17/2025, on the ground that an accord and satisfaction occurred on 12/09/2025, when Judgment Creditor negotiated a check from Ahmari marked "payment in full." In support, Judgment Debtors submit evidence that, on **12/05/2025**, Judgment Creditor's counsel emailed Judgment Debtor stating that $9,109.61 remained due in principal and interest, in addition to $22,334.67 in attorneys' fees. (Ahmari Decl., ¶ 10, Exh. 7.) On **12/08/2025**, Judgment Debtor personally delivered a check in the amount of $9,109.61 to Judgment Creditor's administrator. (Id., ¶ 11, Exh. 8.) The memo line of the check stated: "Payment in full." (Ibid.) Bank records show that Judgment Creditor negotiated the check on **12/09/2025**. (Ibid.)

		Judgment Creditor opposes the motion, contending the judgment was not fully satisfied because the payoff amount excluded accrued postjudgment interest and was based on incorrect interest calculations. In support, Judgment Creditor submits evidence that, although Judgment Debtors tendered a check for $9,109.61 marked "payment in full," the check was not delivered until 12/08/2025 and was calculated only through 12/05/2025, leaving additional postjudgment interest unpaid. (Opposition, Ahmari Decl., ¶ 14.) Judgment Creditor further contends that the payoff figures previously provided to Judgment Debtors were based on an internal accounting error in which postjudgment interest was mistakenly calculated from 08/28/2023 rather than the actual judgment date of 04/17/2023. (Opposition, Gleason Decl., ¶¶ 5-9, Exhs. B-D.) According to Judgment Creditor, corrected calculations demonstrated that additional principal, interest, and recoverable enforcement costs remained owing, such that Judgment Debtors' tender did not fully satisfy the judgment. (Ibid.) <u>Here, Judgment Debtors have not established that the judgment was fully satisfied before the 12/17/2025 Memorandum of Costs After Judgment was filed, as required under Code of Civil Procedure section 685.070, subdivision (b).</u> Although Judgment Debtors tendered a check on 12/08/2025, the evidence reflects that the amount tendered did not include all accrued postjudgment interest. Judgment Debtors admit that the tendered amount excluded "3 days of interest." (Ahmari Decl., ¶ 14.) Under Code of Civil Procedure section 680.300, the "principal amount of the judgment" includes the amount of the judgment together with any costs added to the judgment, reduced by payments, partial satisfactions, or amounts no longer enforceable. (Code Civ. Proc., § 680.300.) Payment on a judgment is allocated first to accrued interest on the principal amount, and then to the principal. (*Big Bear Properties, Inc. v. Gherman* (1979) 95 Cal.App.3d 908, 915; see Code Civ. Proc., § 695.220.) Judgment Debtors contend the "Payment in full" notation on the check established an accord and satisfaction under California Commercial Code section 3311. California Commercial Code section 3311 requires: (1) the debtor tendered an instrument in good faith as full satisfaction of the claim, (2) the amount of the claim was unliquidated or subject to a bona fide dispute, and (3) the claimant obtained payment of the instrument (Cal. U. Com. Code, § 3311.) Additionally, the instrument or accompanying written communication must contain a "conspicuous statement" that it was tendered as full satisfaction of the claim (Ibid.) Here, the underlying judgment and statutory postjudgment interest were fixed and readily calculable. Judgment Debtors admit that the tendered amount excluded "3 days of interest." (Ahmari Decl., ¶ 14.) Even assuming the claim was subject to a bona fide dispute based on the claimed attorney's fees, the present record does not establish an accord and satisfaction under California Commercial Code section 3311

because the check was not tendered in full satisfaction of all amounts claimed to be due. Further, Judgment Creditor consistently asserted that attorney's fees remained owing under the contract and judgment. (See Ahmari Decl., ¶¶ 5-12, Exhs. 2-9.) At the time the payment was tendered, Judgment Creditor had claimed more than $20,000 in attorney's fees. (Ibid.)

Thus, the amount tendered did not fully satisfy the judgment, and the "payment in full" notation alone does not establish an accord and satisfaction under California Commercial Code section 3311.

D. __Timeliness of Motion to Tax Costs__

A judgment debtor who contests claimed costs must file a noticed motion to tax costs within 10 days after service of the Memorandum of Costs. (Code Civ. Proc., § 685.070, subd. (c).) The deadline is extended where service is made by mail, fax, Express Mail, or other overnight delivery method. (Code Civ. Proc., §§ 685.070, subd. (f), 1013; see *Briggs v. Elliott* (2023) 92 Cal.App.5th 683, 693—deadline to file motion to tax costs extended by 5 calendar days where judgment creditor served memorandum of costs on judgment debtor by mail at California address.)

Here, Judgment Creditor filed and served the Memorandum of Costs After Judgment on 12/17/2025 by mail from California. (ROA 245.) Judgment Debtors filed the instant motion on 12/29/2025. Accordingly, the motion is timely.

E. __Standard on Motion to Tax Costs__

If the items on a verified memorandum of costs appear to be proper charges, the memorandum is *prima facie* evidence of their propriety, and the burden is on the party contesting them to show that they were not reasonable or necessary. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29; *Wagner Farms, Inc. v. Modesto Irrigation Dist.* (2006) 145 Cal.App.4th 765, 773-774.)

The party challenging costs bears the initial burden to present evidence and prove the costs are not recoverable; mere statements in points and authorities and conclusory statements by counsel are insufficient to rebut the *prima facie* showing. (*Seever v. Copley Press, Inc.* (2006) 141 Cal.App.4th 1550, 1557; *Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266.) On the other hand, items that are properly objected to are put in issue, and the burden of proof is on the party claiming them as costs. (*Ladas v. California State Auto. Ass'n.* (1993) 19 Cal.App.4th 761, 774–776.) Whether a cost item was reasonably necessary to the litigation is a question of fact for the trial court to determine. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29-30.)

F. __Attorneys' Fees__

Under Code of Civil Procedure section 685.080, subdivision (a), "[t]he judgment creditor may claim costs authorized by Section 685.040 by noticed motion." The statute further provides that "[t]he costs claimed

		under this section may include, but are not limited to, costs that may be claimed under Section 685.070." (Code Civ. Proc., § 685.080, subd. (a).) Thus, a noticed motion under section 685.080 may encompass the same postjudgment enforcement costs recoverable through a memorandum of costs under section 685.070, including attorney's fees authorized under section 685.040. (*Highland Springs Conference & Training Center v. City of Banning* (2019) 42 Cal.App.5th 416, 424-425 [a memorandum of costs and a noticed motion filed together].) Although attorney's fees may be recoverable as enforcement costs under Code of Civil Procedure section 685.040, Judgment Creditor has separately filed a noticed motion seeking attorney's fees, which remains pending. Because the amount, reasonableness, and recoverability of the requested fees are disputed, and because the issue is already before the Court through the separately noticed fee motion, the issue is more appropriately resolved through that motion. Accordingly, the Court declines to award attorney's fees through the present Memorandum of Costs After Judgment and instead defers the issue to the pending fee motion. **G. <u>Cost Incurred More than Two Years</u>** The costs incurred for recording and indexing abstracts of judgment on 08/02/2023, 08/04/2023, and 08/07/2023 were not included in the Memorandum of Costs After Judgment until more than two years after they were incurred. (Code Civ. Proc., § 685.070, subd. (b).) Because the Memorandum of Costs After Judgment was not filed until 12/17/2025, those specific costs are untimely under Code of Civil Procedure section 685.070, subdivision (b), and are therefore taxed. **H. <u>Other Costs</u>** Judgment Debtors do not specifically challenge the remaining claimed enforcement costs, including the debtor examination fees and stipulation-related costs. Judgment Debtors to give notice.
5	Douglas v. Regents of the University of California	Plaintiff Christopher Ryan Douglas moves to compel Defendant Navigate BioPharma Services, Inc. to provide verified responses without objections to Plaintiff's special interrogatories (set one) and request for production of documents (set one). For the following reasons, the motion is GRANTED. Responses to interrogatories and requests for production of documents are due 30 days after service (plus appropriate time for method of service). (Code Civ. Proc. §§ 2030.260; 2031.260.) If the party to whom a discovery request is directed fails to respond timely, that party waives all objections, including claims of privilege and work product protection. (Code Civ. Proc. §§ 2030.290(a); 2031.300(a).) Defendant first contends that the motion should be denied because Plaintiff's discovery is premature in light of the fact that Defendant has a pending demurrer to the operative Second Amended Complaint.

The right to discovery does not depend on whether a case is at issue. For example, a plaintiff may serve a deposition notice 20 days after service of summons (§ 2025.210, subd. (b)) notwithstanding that the defendant has 30 days to respond to the complaint (§§ 412.20, subd. (a)(3) & (6), 430.40, subd. (a)). Moreover, discovery continues despite a challenge to the sufficiency of the complaint. (*Mattco Forge, Inc. v. Arthur Young & Co*. (1990) 223 Cal.App.3d 1429, 1436, fn. 3 [pleading deficiencies do not affect party's right to conduct discovery]; *Budget Finance Plan v. Superior Court* (1973) 34 Cal.App.3d 794, 797 [plaintiff may continue to conduct discovery after demurrer to complaint sustained].)

Defendant has not sufficiently shown that the pending demurrer should prohibit Plaintiff from conducting discovery.

Defendant also contends that the discovery was served prematurely in violation of Code Civ. Proc. § 2031.020(b). Pursuant to Code of Civil Procedure section 2030.020, "[a] plaintiff may propound interrogatories to a party without leave of court at any time that is 10 days after the service of the summons on, or appearance by, that party, whichever occurs first." (Code Civ. Proc., § 2030.020, subd. (b).) Similarly, Code of Civil Procedure section 2031.020 provides, "[a] plaintiff may make a demand for inspection, copying, testing, or sampling without leave of court at any time that is 10 days after the service of the summons on, or appearance by, the party to whom the demand is directed, whichever occurs first." (Code Civ. Proc., § 2031.020, subd. (b).)

Defendant was served by substitute service on December 10, 2025 with the Summons and Complaint. (ROA 43.) Plaintiff then served the special interrogatories and requests for production of documents, along with the First Amended Complaint, on Defendant on December 29, 2025, well over 10 days after December 10, 2025. (ROA 55.) Contrary to Defendant's contention, the discovery was not served prematurely.

As a result of Defendant's failure to respond to the discovery requests, Plaintiff is entitled to an order compelling responses without objections except for those based on the attorney-client privilege or the work product doctrine. (Code Civ. Proc. §§ 2030.290, 2031.300.) However, if Defendant asserts such objections, Defendant shall provide a privilege log within 30 days pursuant to Code Civ. Proc § 2031.240(c) that identifies each document for which privilege or work product protection is claimed, its author, recipients, date of preparation, and the specific privilege or work product protection claimed.

Defendant is ORDERED to serve responses and the privilege log (if applicable) within 30 days.

Sanctions are available on motions to compel responses to interrogatories and inspection demands. (Code Civ. Proc. § 2030.290(c), § 2031.300(c). ("The court shall impose a monetary sanction … against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response … unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.").)

		Plaintiff seeks sanctions of $124.05, consisting of the motion filing fee of $60, printing/exhibits/binders costs of $19.90, and travel (mileage) costs of $44.15 from Calabasas. The Court GRANTS Plaintiff's request for $79.90 in monetary sanctions. Defendant is ORDERED to pay $79.90 in monetary sanctions to Plaintiff by June 25, 2026. Plaintiff shall file and serve notice of this ruling. <u>Case Management Conference</u> The Case Management Conference is continued to November 05, 2026, at 1:30 p.m. in this department. Plaintiff to give notice.
6	Temple Beth El of South Orange County v. The Discovery Preparatory School	The court OVERRULES the demurrer by Defendant and Discovery Preparatory School Inc. ("DPSI") as to second, fourth, fifth, seventh, and ninth causes of action of the second amended complaint by Plaintiff Temple Beth El of South Orange County. **A. Standard for Demurrer** In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) A demurrer tests only the sufficiency of the complaint; a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 n.7.) Although courts should take a liberal view of inartfully drawn complaints (*see* Code Civ. Prod., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; *see* Code Civ. Proc., § 425.10, subd. (a).) **B. Sham Pleading** DPSI first argues that the SAC constitutes a sham pleading and should be sustained in its entirety. The court disagrees. Under the sham pleading doctrine, harmful admissions or allegations in a complaint cannot be omitted/altered in an amended pleading without explanation, and in the case of such amendments, the court may take judicial notice of the prior pleading and disregard any inconsistent allegations. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425.)

		"The court may examine the prior complaint to ascertain whether the amended complaint is merely a sham. [Citation.] ... Moreover, any inconsistencies with prior pleadings must be explained; if the pleader fails to do so, the court may disregard the inconsistent allegations. [Citation.]" (*Larson v. UHS of Rancho Springs, Inc.* (2014) 230 Cal. App. 4th 336, 343–44). Here, DPSI argues that in the prior first amended complaint, Plaintiff alleges: "Plaintiff does not have privity of contract with Discovery Inc. and has no means of collecting past due rent from Discovery Inc." (FAC ¶ 77.) However, in the SAC, Plaintiff now alleges that the License Agreement was made between Plaintiff and DPSI. DPSI, however, is ignoring the full context of the SAC. Plaintiff acknowledges that the signatory to the License Agreement was Discovery, LLC. However, Plaintiff makes multiple allegations that, although Discovery, LLC, signed the agreements at issue, DPSI should be vicariously liable on these agreements as a mere conduit, a single business enterprise, and/or a successor to Discovery, LLC. Plaintiff expressly alleges in the SAC that the agreement was signed by Discovery, LLC. The court finds that the SAC provides sufficient explanation as to why, even without privity of contract, Plaintiff contends that an implied contract existed between Plaintiff and DPSI. As such, the sham pleading doctrine does not apply here. **C. Vicarious Liability Allegations against DPSI** Here, Defendant DPSI's main argument is that the licensing agreements at issue were between Plaintiff and Defendant The Discovery Preparatory School, Ltd. Liability Co. ("Discovery, LLC"). Yet despite the agreement being between Plaintiff and the Discovery, LLC, and no contract exists between Plaintiff and DPSI, Plaintiff has not sufficiently alleged alter ego and/or any other vicarious liability theory against DPSI. Courts have expanded the alter ego theory to apply to other corporations under a mere conduit/single business enterprise theory. (*Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc.* (2013) 217 Cal.App.4th 1096, 1107–1108). "A court may also disregard the corporate form in order to hold one corporation liable for the debts of another affiliated corporation when the latter 'is so organized and controlled, and its affairs are so conducted, as to make it merely an instrumentality, agency, conduit, or adjunct of another corporation.'" (*Id*.) "Under the 'single business enterprise' doctrine, separate corporations may operate with integrated resources in pursuit of a single business purpose." (*Id.*) "The 'single-business-enterprise' theory is an equitable doctrine applied to reflect partnership-type liability principles when corporations integrate their resources and operations to achieve a common business purpose." (Id.) Alter ego and/or the mere conduit/single business enterprise theory, therefore, seek to how the "equitable owner" responsible when the corporate form is sued to perpetuate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose. (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538).

Further, under a separate theory, successor liability is an equitable doctrine that applies when a purchasing corporation is merely a continuation of the selling corporation, or the asset sale was fraudulently entered to escape debts and liabilities. (See *Brown Bark III, L.P. v. Haver* (2013) 219 Cal.App.4th 809, 822.) To invoke successor liability, the rule states that the purchaser does not assume the seller's liabilities unless (1) there is an express or implied agreement of assumption; (2) the transaction amounts to a consolidation or merger of the two corporations; (3) the purchasing corporation is a mere continuation of the seller; or (4) the transfer of assets to the purchaser is for the fraudulent purpose of escaping liability for the seller's debts. (*Cleveland v. Johnson* (2012) 209 Cal.App.4th 1315, 1327).

In terms of pleading, a party is required "to allege only 'ultimate rather than evidentiary facts'" to allege alter ego. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236). For example, the following allegations have been found to be sufficient to plead alter ego liability: "Rutherford alleged that Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice." (*Id*. at 235-236).

Here, Plaintiff sufficiently alleges facts to give DPSI notice of the basis of plaintiff's alter ego theory. Plaintiff's allegations mirror that of the *Rutherford* allegations. Plaintiff has alleged the ultimate facts to allege that DPSI is either a mere conduit/single business enterprise as Discovery, LLC, and/or that DPSI is liable as a successor to Discovery, LLC. Each of the causes of action alleged against DPSI are sufficient to give DPSI notice of the basis under which Plaintiff seeks to hold DPSI, specifically, liable. At the pleading stage this is sufficient.

D. **Second Cause of Action for Breach of Contract**

"To state a cause of action for breach of contract, it is required that there be a pleading of the contract, plaintiffs' performance (or excuse for nonperformance), defendant's breach, and damage to plaintiff therefrom." (*Gautier v. General Tel. Co.* (1965) 234 Cal.App.2d 302, 305.)

Here, DPSI argues that Plaintiff cannot allege a breach of contract cause of action against DPSI because no contract exists between the parties. As explained above, however, Plaintiff has alleged that DPSI is vicariously liable for the contract Plaintiff entered into with Discovery, LLC under a mere conduit theory. (SAC, ¶¶ 103-107). These allegations are sufficient.

The demurrer is overruled as to the second cause of action.

E. **Fourth Cause of Action for Breach of Implied-in-Fact Contract**

"A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230). "An implied contract must be founded upon an ascertained agreement of the parties to perform it." (See *Siskiyou Hosp., Inc. v. Cnty. of Siskiyou* (2025) 109 Cal.App.5th 14, 52 *review denied* (May 28, 2025).)

DPSI argues that it did not make any promises to Plaintiff. Again, as set forth above, Plaintiff alleges that Discovery, LLC and DPSI are one and the same. Plaintiff alleges that despite Discovery, LLC, being the one named in the agreements, DPSI was making the payments to Plaintiff under the agreements and DPSI was the one who actually benefitted from the agreements in that its classes were being conducted at Plaintiff's property. This is sufficient to allege an implied in fact contract. The demurrer is overruled as to the fourth cause of action.

F. **Fifth Cause of Action for Quantum Meruit**

"Quantum meruit refers to the well-established principle that the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered." (*Fair v. Bakhtiari* (2011) 195 Cal.App.4th 1135, 1150.) "To recover in quantum meruit, a party nee not prove the existence of a contract, but it must show the circumstances were such that the services were rendered under some understanding or expectation of both parties that compensation therefor was to be made." (*Ibid.*)

Again, Plaintiff alleges that despite Discovery, LLC, being the one named in the agreements, DPSI was making the payments to Plaintiff under the agreements and DPSI was the one who actually benefitted from the agreements in that its classes were being conducted at Plaintiff's property. This is sufficient to allege a cause of action for quantum meruit against DPSI. The demurrer to overruled as to the fifth cause of action.

G. **Seventh Cause of Action for Dishonored Checks**

Civil Code section 1719 states, in relevant part, "Notwithstanding any penal sanctions that may apply, any person who passes a check on insufficient funds shall be liable to the payee for the amount of the check and a service charge payable to the payee…" (Civ. Code, § 1719, subd. (a)(1).)

DPSI argues that Plaintiff does not allege that DPSI delivered a check of insufficient funds to Plaintiff. Plaintiff, however, does allege that DPSI delivered a check in September 23, 2024 to Plaintiff. (SAC, ¶ 153). Whether or not that check actually came from DPSI, Davis, or Discovery, LLC is a question of fact that cannot be determined on demurrer. On its face, the allegations are sufficient to allege a cause of action for dishonored checks against DPSI. The demurrer to the seventh cause of action is overruled.

H. **Ninth Cause of Action for Breach of Covenant of Good Faith and Fair Dealing**

		While the notice of the demurrer challenges the sufficiency of the ninth cause of action against DPSI, the memorandum does not provide the court with any legal authority or factual analysis as to why the ninth cause of action is purportedly insufficiently pled against DPSI. The demurrer to the ninth cause of action is, therefore, overruled. Moving Defendant to give notice. <u>Case Management Conference</u> The Case Management Conference is continued to July 23, 2026, at 9:00 a.m. in this department. Plaintiff to give notice.
7	Arroyo v. California Lawyers & Advocates, APC	Plaintiff Hermila Arroyo's motion to set aside order of dismissal is **GRANTED** on condition that Defendants are served within 30 days of this order. The court sets an OSC re dismissal for failure to serve Defendants for **June 25, 2026 at 9:00 a.m.** Plaintiff seeks to set aside the dismissal entered on April 10, 2025. Given that the dismissal occurred more than six months ago, Plaintiff seeks to set aside the dismissal based on the court's equitable power and not section 473. Apart from any statutory authority, a court has inherent, equitable power to set aside a judgment on the ground of "extrinsic fraud or mistake." (*Olivera v. Grace* (1942) 19 Cal. 2d 570, 576). There are three essential requirements to obtain relief. The party in default must show: (1) a meritorious defense; (2) a satisfactory excuse for not presenting a defense to the original action; and (3) diligence in seeking to set aside the default once it was discovered. (*Rappleyea v. Campbell* (1994) 8 Cal. 4th 975, 982). A motion to vacate a default or dismissal that is made more than six months after entry of default can be made on the ground that a court has the inherent equitable power to grant such relief where there has been extrinsic fraud or mistake. (*Orange Empire Nat. Bank v. Kirk*, (1968) 259 Cal.App.3d 347, 352-53). "Extrinsic mistake occurs 'when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits.' [Citation.] In contrast with extrinsic fraud, extrinsic mistake exists when the ground of relief is not so much the fraud or other misconduct of one of the parties as it is the excusable neglect of the defaulting party to appear and present his claim or defense. If that neglect results in an unjust judgment, without a fair adversary hearing, the basis for equitable relief on the ground of extrinsic mistake is present. [Citation.] Relief will be denied, however, if the complaining party's negligence permitted the fraud to be practiced or the mistake to occur." (*Manson, supra*, 176 Cal.App.4th at p. 47, 97 Cal.Rptr.3d 522.)

		(Kramer v. Traditional Escrow, Inc. (2020) 56 Cal.App.5th 13, 30). "Extrinsic fraud occurs when a party is deprived of the opportunity to present his claim or defense to the court; where he was kept ignorant or, other than from his own negligence, fraudulently prevented from fully participating in the proceeding … The essence of extrinsic fraud is one party's preventing the other from having his day in court." (*Sporn v. Home Depot USA, Inc.* (2005) 126 Cal. App. 4th 1294, 1300). Relief based on extrinsic fraud is not limited to fraud by the opposing party**.** Extrinsic fraud may include circumstances where "an attorney fraudulently or without authority assumes to represent a party and connives at his defeat …" (*Estate of Sanders* (1985) 40 Cal.3d 607, 614, citing *United States v. Throckmorton* (1878) 98 U.S. 61, 65–66. Here, Plaintiff has provided sufficient evidence to establish extrinsic mistake and/or extrinsic fraud. Plaintiff relied on her prior attorneys, the California Lawyers & Advocates, APC to pursue and prosecute her claims in a timely manner. (Mvg. Arroyo Decl., ¶ 6). As of April 2024, her prior attorneys assured Plaintiff that everything in her case "was going very well and not to worry – the case is almost done and the attorneys are fighting for the max." (Id., ¶ 7). Plaintiff attempted to call her prior attorneys for an update, but never received a call back and her calls would go straight to voicemail. (Id., ¶ 8). Plaintiff became concerned and retained new counsel on May 15, 2025. (Id., ¶ 9). Plaintiff learned that the case was dismissed in April 2025, but was not informed by her prior attorneys. (Id.) The court finds that this evidence the conduct of Plaintiff's prior attorneys deprived Plaintiff of the opportunity to present her claim to the court and Plaintiff was kept ignorant and was prevented from fully participating in this action due to her prior attorneys' conduct. The court will note that the evidence suggests a lack of diligence, given that Plaintiff retained new counsel on May 15, 2025, but did not file this motion until December 29, 2025. Nevertheless, given the liberal policy of allowing matters to proceed on the merits, on the court's own inherent power, the motion is GRANTED on the condition that Defendants are properly served with the complaint within 30 days of this order. Plaintiff is admonished that the court will not likely entertain any further dilatory conduct by Plaintiff in prosecuting this action.
8	Liang v. Judicial Council of California	Defendant Judicial Council of California's demurrer to the Complaint filed by Plaintiff Joseph Liang is **SUSTAINED without leave to amend.** In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.) In the underlying smalls claims action, Plaintiff was sued by a neighbor over an issue involving a residential drainpipe. (Compl. at p. 5, ¶ 1.) On Juen 22, 2023, the small claims court ruled against Plaintiff. (*Id*. at p. 5,

		¶ 3.) Plaintiff alleges the ruling was not supported by substantial evidence. (*Id*. at p. 5, ¶¶ 2-3.) Plaintiff appealed the small claims court's decision to the Orange County Superior Court. (Compl. at p. 5, ¶ 4.) On September 18, 2023, the court ruled against Plaintiff. (*Id*.) Plaintiff claims the ruling relied on arguments never raised by the opposing party. (*Id*.) On October 10, 2023, Plaintiff filed a Request for Court Order and Answer (Small Claims). (Compl. Exh. at p. 26.) Plaintiff requested that the court "Cancel the judgment → Supplementary reasoning". (*Id*.) On October 20, 2023, the court issued its Order on Request for Court Order (Small Claims). The October 20, 2023 Order denied the request, stating "The Superior Court judgment on an appeal from the small claims court is final and not appealable. (Code Civ. Proc., § 116.780(a).)" (*Id*. at p. 27.) The court further explained that "[t]he Superior Court no longer has jurisdiction to vacate or review the judgment. (*ERA-Trotter Girouard Assoc. v. Superior Court* (1996) 50 Cal.App.4th 1851, 1856-1857.)" (*Id*.) On March 26, 2024, the court issued an Order on Request for Court Order (Small Claims). (Compl. Exh. at p. 24.) The March 26, 2024 Order denied a March 5, 2024 Request for Court Order and Answer, stating "This request is duplicative of the one filed in October 2023. As previously stated the judgment is final and not appealable. (Code Civ. Proc., § 116.780(a).) and the court no longer has jurisdiction to vacate or review the judgment. (*ERA-Trotter Girouard Assoc. v. Superior Court* (1996) 50 Cal.App.4th 1851, 1856-1857.)" (*Id*.) The March 5, 2024 Request for Court Order and Answer is not included among the Complaint's exhibits. (See generally Compl.) On May 10, 2024, Plaintiff submitted a claim to Defendant for emotional damages and constitutional injuries. (Compl. at p. 5, ¶ 6.) Defendant denied the claim on June 25, 2024. (*Id*. at ¶ 7.) <u>Compliance with the Government Claims Act</u> A suit seeking "money or damages" within the meaning of the Government Claims Act (Gov. Code, §§ 905, 945.4) "includes all actions where the plaintiff is seeking monetary relief." (*Sparks v. Kern County Bd. of Supervisors* (2009) 173 Cal.App.4th 794, 798.) Courts have held the claim process applicable in cases based on negligence (*Martinez v. County of Los Angeles* (1978) 78 Cal.App.3d 242), intentional tort (*Cooper v. Jevne* (1976) 56 Cal.App.3d 860), nuisance (*City of San Jose v. Superior Court*. (1974) 12 Cal.3d 447), and violation of a statutorily imposed duty (*San Leandro Police Officers Assn. v. City of San Leandro* (1976) 55 Cal.App.3d 553). " '[T]he claims presentation requirement applies to all forms of monetary demands, regardless of the theory of the action.' " (*Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, 338.) In order to pursue a tort claim against a public entity or public employee under California state law, Plaintiffs must establish that they have complied with the claim presentation requirements of the Government Claims Act. (Gov. Code, §§ 945.4, 950.2.) "Before a civil action may be

		brought against a public entity [or public employee], a claim must first be presented to the public entity and rejected." (*Ocean Servs. Corp. v. Ventura Port District* (1993) 15 Cal.App.4th 1762, 1775; Gov. Code, § 950.2.) "[F]ailure to timely present a claim for money or damages to a public entity bars a plaintiff from filing a lawsuit against that entity." (*City of Stockton v. Superior Court* (2007) 42 Cal. 4th 730, 738 [citation and internal quotations omitted].) Compliance with the claims presentation requirement is an element of the plaintiff's claim. (*State of California v. Superior Court (Bodde)* (2004) 32 Cal.4th 1234, 1243-44 ["Timely claim presentation is not merely a procedural requirement, but is ... a condition precedent to plaintiff's maintaining an action against defendant ... and thus an element of the plaintiff's cause of action."] [citation and internal quotation marks omitted].) The Government Claims Act requires plaintiffs to file a written claim with the public entity within six months of the accrual of the cause of action, as a prerequisite to filing a civil claim. (Gov. Code, § 911.2.) The date of accrual is the date of the occurrence of the last fact essential to the cause of action. (*Howard Jarvis Taxpayers Ass'n v. City of La Habra* (2001) 25 Cal.4th 809, 815, as modified July 18, 2001.) "The date of accrual of a cause of action marks the starting point for calculating the claims presentation period. [Citation.] The general rule for defining the accrual of a cause of action sets the date as the time when, under the substantive law, the wrongful act is done, or the wrongful result occurs, and the consequent liability arises. [Citation.] In other words, it sets the date as the time when the cause of action is complete with all of its elements [citations]—the elements being generically referred to by sets of terms such as wrongdoing or wrongful conduct, cause or causation, and harm or injury [citations]. [Citation.] A cause of action accrues for purposes of the filing requirements of the Tort Claims Act on the same date a similar action against a nonpublic entity would be deemed to accrue for purposes of applying the relevant statute of limitations." (*K.J. v. Arcadia Unified School District* (2009) 172 Cal.App.4th 1229, 1239, *as modified (May 5, 2009)* disapproved of on other grounds by *Rubenstein v. Doe No. 1* (2017) 3 Cal.5th 903.) Plaintiff's cause of action for violation of due process alleges Defendant's acts and omissions deprived Plaintiff of fundamental procedural fairness and impartial judicial review, including ignoring evidence, ruling on arguments not presented, and dismissing reconsideration motions without legal evaluation. (Compl. at p. 6, ¶¶ 1-2.) The cause of action for negligence and gross negligence alleges Defendant failed to investigate or correct systemic failures, despite receiving formal notice via a government claim. (*Id*. at ¶ 4.) The cause of action for intentional infliction of emotional distress alleges Defendant's inaction and misconduct caused Plaintiff prolonged psychological trauma. (*Id*. at ¶ 5.) Plaintiff requests that his claims be equitably tolled. The doctrine of equitable tolling, however, "cannot be invoked to suspend [Government Code] section 911.2's six-month deadline for filing a prerequisite government claim" because "the six-month period of section 911.2 is

		not a statute of limitations [citation] to which tolling rules might apply." (*Willis v. City of Carlsbad* (2020) 48 Cal.App.5th 1104, 1121.) Furthermore, "[a]pplication of tolling to the claims presentation deadline would undercut the public policies and purposes that require that deadline be 'strict[ly]' applied." (*Id.* at p. 1122.) To the extent Plaintiff's causes of action are based on the June 22, 2023 small claims court decision, the September 18, 2023 appeal ruling, or the Orders on Request for Court Order (Small Claims), the claims are untimely. On the face of the Complaint, these claims are barred because Plaintiff's failed to present a timely written claim. The demurrer is sustained as to the first cause of action. <u>Common Law Causes of Action</u> In California, all government tort liability must be based on a statute. California Government Code section 815, a provision in the California Tort Claims Act, states that "[e]xcept as otherwise provided by statute … [a] public entity is not liable for an injury, whether such injury arises out of an act or omission of the public entity or a public employee or any other person." (Gov't Code, § 815.) This section "abolishes common law tort liability for public entities." (*Miklosy v. Regents of University of California* (2008) 44 Cal. 4th 876, 899.) The Complaint does not allege a statutory basis for Plaintiff's negligence and intentional infliction of emotional distress claims against Defendant. The demurrer is sustained as to the second and third causes of action. <u>Uncertainty</u> Demurrers for uncertainty are generally disfavored (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822) because "under [California's] liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend." (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) The court will only sustain a demurrer for uncertainty if it is so poorly drafted that defendants cannot reasonably respond. (*Khoury v. Maly's of California Inc.* (1993) 14 Cal. App. 4th 612, 616.) A demurrer for uncertainty must identify by line and page number, the language that creates the uncertainty. (*Fenton v. Groveland Community Services Dist.* (1982) 135 Cal. App. 3d 797, 809.) The Complaint is not "so incomprehensible that a defendant cannot reasonably respond." (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal. App. 4th 1125, 1135.) Any "ambiguities can be clarified under modern discovery procedures." (*Khoury*, *supra*, 14 Cal. App. 4th at p. 616.) The demurrer on the basis of uncertainty is overruled. "The plaintiff bears the burden of proving there is a reasonable possibility of amendment." (*Rakestraw v. California Physicians' Service* (2000) 81 Cal.App.4th 39, 43, 96 Cal.Rptr.2d 354 (*Rakestraw*).) To satisfy that burden, the plaintiff " 'must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.' [Citation.] … The plaintiff must clearly and

		specifically set forth the 'applicable substantive law' [citation] and the legal basis for amendment, i.e., the elements of the cause of action and authority for it. Further, the plaintiff must set forth factual allegations that sufficiently state all required elements of that cause of action. [Citations.] … [¶] The burden of showing that a reasonable possibility exists that amendment can cure the defects remains with the plaintiff. [Citations.]" (*Rosen v. St. Joseph Hospital of Orange County* (2011) 193 Cal.App.4th 453, 458.) Here, Plaintiff did not meet this burden. Defendant to give notice.
9	Alayarian Company, a California Corporation v. VMA Harbor Place Holding Company, LLC	The Motion to Compel Answers to Form Interrogatories brought by Defendant VMA Harbor Place Holding Company, LLC, is **MOOT, in part and GRANTED in part.** Per the Declaration filed by Plaintiff on May 13, 2026, complete verified responses to Defendant's Form Interrogatories, Set One, were served on May 12, 2026. (¶9 of Forstrom Declaration [ROA No. 82].) Based on the above, the request for an order compelling such response is MOOT. Nonetheless, the Court GRANTS Defendant's request for sanctions, in a reduced amount. Plaintiff Sam Alayarian is ordered to pay sanctions to Defendant in the amount of $860.00. (See Code Civ. Proc., § 2030.290, subd. (c); See also Code Civ. Proc., § 2023.030, subd. (a) and § 2023.010, subd. (d).) Defendant to give notice. <u>Case Management Conference</u> Trial is set for September 13, 2027, at 9:00 a.m. in this department. Plaintiff to give notice.
10	Saba v. Tayyan	Plaintiff George Saba's motion to remove Defendant Angel Tayyan as trustee is **DENIED**. <u>**Lack of Jurisdiction**</u> Plaintiff George Saba moves to remove Defendant Tayyan as trustee of "The Saba Family Trust, aka the Saba Family Irrevocable Intervivos Trust dated April 28, 2008, as amended and restated, on October26, 2015." Probate Code § 15642 provides the following: (a) A trustee may be removed in accordance with the trust instrument, by the court on its own motion, or on petition of a settlor, cotrustee, or beneficiary under Section 17200. (b) The grounds for removal of a trustee by the court include the following: (1) Where the trustee has committed a breach of the trust. (2) Where the trustee is insolvent or otherwise unfit to administer the trust.

		(3) Where hostility or lack of cooperation among cotrustees impairs the administration of the trust. (4) Where the trustee fails or declines to act. (5) Where the trustee's compensation is excessive under the circumstances. (6) Where the sole trustee is a person described in subdivision (a) of Section 21380, whether or not the person is the transferee of a donative transfer by the transferor, unless, based upon any evidence of the intent of the settlor and all other facts and circumstances, which shall be made known to the court, the court finds that it is consistent with the settlor's intent that the trustee continue to serve and that this intent was not the product of fraud or undue influence. Any waiver by the settlor of this provision is against public policy and shall be void. This paragraph shall not apply to instruments that became irrevocable on or before January 1, 1994. This paragraph shall not apply if any of the following conditions are met: … However, there are jurisdictional limitations with the request Plaintiff is seeking. Pursuant to the notice of related case, there is a probate matter in department CM03 titled "Saba-Trust", case no. 2022-01295368. (See ROA 56). The probate court has exclusive jurisdiction over proceedings concerning the "internal affairs" of trusts. (Prob. Code, § 17000, subd. (a).) This is true even if the trust is administered outside of probate. (See e.g., *Estate of Heggstad* (1993) 16 Cal.App.4th 943, 951 (Trustee's petition for instructions invoked probate court's jurisdiction to determine whether property was part of estate or was trust property). The probate code defines "internal affairs of a trust" to include: (1) Determining questions of construction of a trust instrument. (2) Determining the existence or nonexistence of any immunity, power, privilege, duty, or right. (3) Determining the validity of a trust provision. (4) Ascertaining beneficiaries and determining to whom property shall pass or be delivered upon final or partial termination of the trust, to the extent the determination is not made by the trust instrument. (5) Settling the accounts and passing upon the acts of the trustee, including the exercise of discretionary powers. (6) Instructing the trustee. (Prob. Code, § 17200(b)(1)-(6)). As the court held in *Estate of Bowles* (2008) 169 Cal.App.4th 684, "[t]he probate court has exclusive jurisdiction over the first amended section 17200 petition concerning the internal affairs of the trust." (*Id.* at 696). Accordingly, this court does not have jurisdiction to decide the internal affairs of the trust, which includes the relief Plaintiff is seeking by way of this motion. Therefore, the motion is DENIED. Defendant shall give notice.

		Note: OSC is set for June 25, 2026, at 9:00 a.m. in this department, as to both parties to explain why the claims relating to the internal affairs of the trust, specifically claims such as failure to serve documents pursuant to Prob. Code § 16061.7, breach of fiduciary duty, and negligence-which is based on violation of Prob. Code § 16061.7 and selling settlor's property without advising the beneficiaries of the sale should not be litigated in probate court. While civil court may have jurisdiction over the elder abuse claims, some of Plaintiffs'claims appear to be "internal affairs of a trust". Defendant filed a notice of related case in 2023, but she never moved this court to have the claims transferred.. Furthermore, there is a motion for summary judgment on some of these issues set for 5/28/26.
11	CA Billing, LLC v. Hillis	Defendant Robert Hillis' motion for sanctions is **DENIED**. <u>No Proof of Service</u> As a preliminary matter, there is no proof of service for the instant motion. Code Civ. Proc. § 1005, subd. (b) provides: "Unless otherwise ordered or specifically provided by law, all moving and supporting papers shall be served and filed at least 16 court days before the hearing. The moving and supporting papers served shall be a copy of the papers filed or to be filed with the court." Cal. R. Ct., rule 3.1300, subd. (c) provides that "Proof of service of the moving papers must be filed no later than five court days before the time appointed for the hearing." Defendant failed to comply with this requirement, and Plaintiff raised this argument in the Opposition. Plaintiff's counsel acknowledged that Defendant emailed him an unfiled copy on 11/4/25 pursuant to the safe harbor provision of Code Civ. Proc. § 128.7, but declared that he "had not been served with the filed version of Defendant Robert Hillis' Motion for Sanctions." (Decl. of Fasel, ¶¶ 2, 5). However, because Plaintiff received a copy on 11/4/25 with notice of the hearing date, and was able to file a timely response on the merits, the court will proceed on the merits. <u>Motion for sanctions</u> Under Civil Procedure Code § 128.7, when an attorney or self-represented litigant presents a pleading, motion, or similar paper to the court, the person filing the paper makes an implied "certification" that: (1) It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. (2) The claims . . . and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

(3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.
…
(Code Civ. Proc., § 128.7, subd. (b).)

An attorney or litigant filing the paper is subject to sanctions for a violation of this certification. (Code Civ. Proc., § 128.7, subd. (c).)

The purpose of Section 128.7 is "to check abuses in the filing of pleadings, petitions, written notices of motions or similar papers." (*Musaelian v. Adams* (2009) 45 Cal.4th 512, 514.)

These sanctions are discretionary. The court is not required to impose a monetary sanction or any sanction at all. (See Code Civ. Proc. §§ 128.5(a); 128.7(c); *Kojababian v. Genuine Home Loans, In*c. (2009) 174 Cal.App.4th 408, 422 ["Section 128.7, subdivision (c) does not require the imposition of monetary sanctions upon the finding of a violation of section 128.7, subdivision (b); rather, it gives the trial court discretion to impose sanctions based on such a finding."].).

"[T]he moving party must show the party's conduct in asserting the claim was objectively unreasonable. … A claim is objectively unreasonable if 'any reasonable attorney would agree that [it] is totally and completely without merit.'" (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440 [citations omitted]; see also *Optimal Markets, Inc. v. Salant* (2013) 221 Cal.App.4th 912, 921 [the trial court applies "an objective standard in making its inquiry concerning the attorney's or party's allegedly sanctionable behavior in connection with a motion for sanctions brought under section 128.7"]).

<u>Complaint Against Hillis</u>

Defendant Hillis moves for sanctions against Plaintiff CA Billing and its counsel, Thomas Fasel of Fasel Law.

Defendant Hillis argues that the claims asserted against him in the complaint are frivolous. Plaintiff's original complaint asserted four causes of action for breach of contract, fraud, breach of the implied covenant of good faith and fair dealing, and violation of Bus. & Prof. Code § 17200 et seq. against both Defendants Hillis and Oceanfront Recovery at Laguna Beach, LLC.

Both Defendants brought a demurrer on 11/14/25. With regards to Defendant Hillis, the parties agreed that the contract at issue was only between Oceanfront and Plaintiff, and that Hillis was not a signatory. Plaintiff, however, alleged, and argued in its Opposition to the demurrer, that Hillis is still liable for Oceanfront's alleged breach under an alter ego theory. On 1/15/26, this court issued a ruling overruling the demurrer to the 1st, 3rd, and 4th causes of action, and rejected Defendant Hillis' arguments regarding alter ego.

		With regards to the fraud cause of action, this court found that Plaintiff did, in fact, allege that Oceanfront was more financially strained and in debt than what Defendants represented, and that Hillis made continued assurances even though he would not perform. However, this court sustained the demurrer with leave to amend on the basis that the representations lacked specificity. (See 1/15/26 Order). Defendant now submits declarations by Mr. Hillis and Mr. Diamond in support of the motion. Defendant Hillis declares that the majority of the day-to-day operations, including services, contracts, and finances were run by Keenen Diamond, Oceanfront's Chief Operating Officer and President. (Decl. of Hillis, ¶ 4). Mr. Hillis declares the specific communications he had with CA Billing. (See, for example, Decl. of Hillis, ¶¶ 7-10). He declares that he had prior to November 12, 2024, he personally had no interaction with the CA Billing of any kind. (Decl. of Hillis, ¶ 6). He also declares various facts to refute the alter ego allegations. (Decl. of Hillis, ¶¶ 17-43). Mr. Diamond declares that "I confirm that all communications with CA Billing on behalf of Oceanfront were conducted by me. I confirm that I negotiated and executed the Agreement and maintained all contact and communications with CA Billing." (Decl. of Diamond, ¶ 6). He also declares that he engaged in an informal agreement with CA Billing and hat "Mr. Hillis was unaware of this informal, verbal arrangement." (Decl. of Diamond, ¶ 9). Mr. Diamond also declares various facts to refute the alter ego allegations. (Decl. of Diamond, ¶¶ 24-26). In his reply, Defendant Hillis argues that surviving a demurrer does not negate that the claims are not frivolous, because Plaintiff has not provided any evidence of alter ego and Defendant Hillis' liability for the claims, despite the action being litigated for nine months. However, as Defendant acknowledges, this case has <u>only</u> been in litigation for nine months, and this case is not even at issue, as there is a demurrer pending with a hearing date set for 8/6/26. This court cannot make an alter ego finding at this stage, based on two declarations by the party and one witness, without Plaintiff having a meaningful opportunity to complete its own discovery. Ultimately, it is undisputed that Hillis is the founder and CEO of Oceanfront. Plaintiff has communicated with Defendant Hillis regarding their agreement. Plaintiff alleged in the original complaint that Defendant Hillis made representations to Plaintiff. Plaintiff alleged in the original complaint that Hillis used the collected funds for his own personal benefit by paying personal expenses, purchasing personal property and paying personal debts. It is not "objectively unreasonable" at the pleading stage to allege alter ego. Accordingly, the motion is DENIED. Plaintiff's request for attorneys' fees is also DENIED. Defendant Hillis shall give notice.

		Case Management Conference The Case Management Conference is continued to August 06, 2026, at 1:30 p.m. in this department. Plaintiff to give notice.
12	Brown v. Brodsky	Defendants JACOB TYSON BRODSKY; KOI MASTERS USA, INC. DBA SKYLINE CUSTOM BUILDERS; KOI MASTERS USA, INC. DBA ORANGE COUNTY INTEGRITY PRECISION; KOI MASTERS USA, INC. DBA OCIP's motion to bifurcate is **GRANTED in part**. The court will bifurcate and preclude evidence of defendants' wealth and profits or financial condition only until after a trial during the liability phase of trial. Evidence of liability, compensatory damages, and malice, oppression, or fraud entitling punitive damages relief will be allowed during the liability phase of trial. Civil Code section 3295(d) provides in relevant part, "The court shall, on application of any defendant, preclude the admission of evidence of that defendant's profits or financial condition until after the trier of fact returns a verdict for plaintiff awarding actual damages and finds that a defendant is guilty of malice, oppression, or fraud in accordance with Section 3294." "The purpose behind Civil Code section 3295, which allows bifurcation and preclusion of evidence of a defendant's wealth and profits during the liability phase of trial, is to minimize prejudice prior to the jury's determination of a prima facie case of liability for punitive damages. [citation omitted] However, such evidence is not to be excluded on the basis of prejudice when the information is relevant to liability." *Notrica v. State Compensation Ins. Fund* (1999) 70 Cal.App.4th 911, 940. "As an evidentiary restriction, section 3295(d) requires a court, upon application of any defendant, to bifurcate a trial so that the trier of fact is not presented with evidence of the defendant's wealth and profits until after the issues of liability, compensatory damages, and malice, oppression, or fraud have been resolved against the defendant. Bifurcation minimizes potential prejudice by preventing jurors from learning of a defendant's "deep pockets" before they determine these threshold issues." *Torres v. Automobile Club of So. Calif.* (1997) 15 Cal.4th 771, 777-778 (bold added). Where the same trier of fact decides all stages of the trial, evidence admitted in the first stage of a bifurcated or severed trial need not be presented again in a later stage of trial but can be considered by the trier of fact for the later stage of trial. *Foreman & Clark Corp. v. Fallon* (1971) 3 Cal.3d 875, 888. Here, Defendants seek bifurcation of trial into two phases—liability and punitive damages. Defendants contend that the jury will be confused given that there are two distinct burdens of proof: preponderance of evidence for compensatory damages and clear and convincing evidence for punitive damages. The court finds that Defendants' request for bifurcation is overbroad and exceeds the scope of section 3295. The

		evidence of liability for compensatory damages and malice, oppression, or fraud will necessarily involve overlapping evidence and witness testimony. Bifurcating the issue of whether or not defendants' conduct rises to the level of malice, oppression, or fraud will needlessly waste judicial and jury time by requiring re-litigation of similar facts, conduct, witnesses, and documents regard defendants' conduct in multiple phases. Any potential confusion to the jury may be solved with jury instructions regarding the different burdens of proof as well as a special verdict. Bifurcating evidence related to the amount of punitive damages and defendants' profits or financial condition until after the trier of fact has determined defendants' liability and plaintiff's entitlement to punitive damages, in the first, place, balances Defendants' concerns with efficiency and the policy purposes behind section 3295. Defendants' motion to bifurcate trial of punitive damages is granted in part as set forth above. Moving Defendants to give notice.